

Contestant Number: _____

Time: _____

Rank: _____



PERSONAL FINANCIAL MANAGEMENT (165)

STATE 2024

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Short Answer (20 @ 3 points each) _____ (60 points)

TOTAL POINTS _____ ***(120 points)***

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. Your homeowner's insurance policy includes a \$1,000 deductible. Select the best answer below.
 - A. You must pay \$1,000 on a claim before the insurance company pays anything
 - B. The insurance company must pay \$1,000 on every claim you make
 - C. Your premiums on the policy are \$1,000 annually.
 - D. The maximum amount the insurance will pay on a claim is \$1,000
2. What type of mutual fund would include a large investment in Coca-Cola stock?
 - A. Small-cap growth
 - B. Foreign stocks
 - C. Large-cap value
 - D. Fixed-Income
3. Your health insurance includes co-pays of \$25 for doctor's office visits, \$50 for urgent care visits, and \$100 for emergency room visits. You sprain your ankle and go to the hospital for an X-ray. What will you pay at the time of the visit?
 - A. \$0
 - B. \$25
 - C. \$50
 - D. \$100
4. Which service is generally not included in most health insurance policies?
 - A. X-ray of your arm after a fall
 - B. Annual check-up at your general practitioner
 - C. Rehab with your physical therapist after surgery
 - D. Liposuction surgery to eliminate inches from your waistline
5. Which retirement option/plan often includes some type of company match from your employer?
 - A. 401(k)
 - B. IRA
 - C. Roth IRA
 - D. Stock Purchase Plan
6. What will reduce your homeowner's insurance premiums?
 - A. Regular locks instead of deadbolt locks
 - B. Fire hydrant located close to your house
 - C. Fewer smoke detectors than what is required by fire codes
 - D. Having a house located in a flood plain

7. On an investment, which is the most advantageous compounding term to the investor?
 - A. Daily
 - B. Monthly
 - C. Quarterly
 - D. Annually
8. What Schedule is used on your tax return if you choose to itemize deductions?
 - A. Schedule A
 - B. Schedule B
 - C. Schedule 1
 - D. Schedule 2
9. Which form lists your annual income from an organization if you are a contractor?
 - A. From W-2
 - B. Form W-4
 - C. Form 890
 - D. Form 1099
10. A variable expense is one which _____.
 - A. is constant from month to month.
 - B. is small enough to not be included in a budget.
 - C. stays the same from month to month but changes annually.
 - D. may change or vary in amount from month to month.
11. Choose which of the following is most important to maintaining a good credit score.
 - A. Never buying on credit.
 - B. Paying all of your bills on time and in full.
 - C. Paying the minimum balance on your credit card each month.
 - D. Applying for and using multiple credit cards.
12. Which type of stock pays dividends 1st?
 - A. Common Stock
 - B. Preferred Stock
 - C. Stock Options
 - D. Treasury Stock
13. What type of coverage will cover the damage to your car if you hit a deer?
 - A. Comprehensive
 - B. Liability
 - C. Deductible
 - D. Collision
14. What investment has the advantage of diversification?
 - A. Blue Chip Stock
 - B. Real Estate
 - C. Mutual Fund
 - D. Certificate of Deposit

15. Your identity could be stolen using which of the following techniques?
- A. Phishing
 - B. Spoofing
 - C. Dumpster diving
 - D. All could be used to steal identities
16. What are the biggest investments most individuals will make in their lifetime?
- A. Enrolling in an IRA
 - B. Buying a home
 - C. Buying a long-term bond
 - D. Being paid in stock options
17. When renting an apartment, what type of insurance are you encouraged to purchase?
- A. Homeowner's
 - B. Renter's
 - C. Life
 - D. Health
18. Which of the following includes a tax deferment on its earnings?
- A. Corporate Bond
 - B. Certificate of Deposit
 - C. Roth IRA
 - D. Corporate Stock
19. You wish to invest in a mutual fund that that is a no load fund, a current NAV of \$78.30, and an initial investment requirement of \$3,000. What is the minimum number of shares you must purchase to invest in this fund?
- A. 36 shares
 - B. 37 shares
 - C. 38 shares
 - D. 39 shares
20. The reliability and dependability the applicant has shown in their ability to repay a debt refers to which "C" of credit?
- A. Character
 - B. Capacity
 - C. Collateral
 - D. Conditions
21. How many stocks make up the Dow Jones Industrial Average?
- A. 30
 - B. 500
 - C. 2,000
 - D. 3,000

22. The best time to start a budget is _____.
A. upon retirement
B. when you start your 1st job
C. when you get married
D. when you have kids
23. An income mutual fund would mostly put your money into what type of investments?
A. Money Markets
B. Certificates of Deposit
C. Stocks
D. Bonds
24. If you are married with one child, how many claimed allowances on IRS Form W-4 will result in the lowest net pay on your paycheck?
A. 0
B. 1
C. 2
D. 3
25. A credit score is also known as a _____ score.
A. FDIC
B. FED
C. FICO
D. FASB
26. The amount of money the insured pays for insurance is called the _____.
A. premium
B. co-pay
C. co-insurance
D. deductible
27. How many compounding periods would there be on a 3-year Certificate of Deposit that compounds interest quarterly?
A. 1
B. 3
C. 6
D. 12
28. The investment that tracks an index or bundle of assets but trades like a common stock on the stock exchange is known as a(n) _____.
A. ETF
B. money market fund
C. mutual fund
D. IRA

29. What retirement account is typically available only to employees of tax-exempt organizations?
- A. Roth IRA
 - B. 401(k)
 - C. 403(b)
 - D. IRA
30. A 30-year mortgage, vs. a 15-year mortgage, will give the investor a _____.
- A. lower payment and a lower interest rate
 - B. higher payment and a lower interest rate
 - C. lower payment and a higher interest rate
 - D. higher payment and a higher interest rate

Short Answer – 3 points per answer

1. You invest \$2,500 into a 1-year CD from your local bank. The CD has an APR of 3.5% which is compounded quarterly. Find the interest you would earn each quarter, and the maturity value of the CD at the end of the year.
- A. Interest for Q1 _____
 - B. Interest for Q2 _____
 - C. Interest for Q3 _____
 - D. Interest for Q4 _____
 - E. Maturity Value _____
2. Find the interest, maturity value, and maturity date of each of the short-term notes below.

Note – Principal, Term, Interest Rate, Date it was Signed	Interest	Maturity Value	Maturity Date
\$2,000, 90-day, 3.6%, March 16th			
\$9,460, 120-day, 4.1%, June 2 nd			

3. A partial list of the Federal Income Tax Brackets for 2023 is shown below for filing statuses of Single and Married Filing Jointly. For each situation listed, find the tax liability for 2023.

Tax Rate	Taxable Income - Single	Taxable Income - Married Filing Jointly
10%	Up to \$10,275	Up to \$20,550
12%	\$10,276 - \$41,775	\$20,551 - \$83,550
22%	\$41,776 - \$89,075	\$83,551 - \$178,150
24%	\$89,076 - \$170,050	\$178,151 - \$340,100
32%	\$170,051 - \$215,950	\$340,101 - \$431,900

- A. Single, Taxable Income \$40,200 _____
- B. Single, Taxable Income \$78,300 _____
- C. Single, Taxable Income \$151,250 _____
- D. Married, Taxable Income \$124,960 _____
- E. Married, Taxable Income \$360,745 _____
4. At the beginning of 2023, Investor A invested in a mutual fund with a NAV of \$47.60, buying 100 shares. The fund includes a 4% deferred load. Investor A recently sold those same shares while the NAV was \$43.15.
- A. How much did it cost Investor A to buy the fund? _____
- B. Ignoring the load, how much money did Investor A lose on the investment? _____
- C. How much did the load cost Investor A? _____
- D. Ignoring the load, what was the ROI on Investor A investment? _____